

Macroeconomics

Mumbai University Course Syllabus

Module 1: National Income Accounting

- Key macroeconomic variables: GDP, GNP, NDP, NNP
- Methods of measuring National Income: Product, Income, Expenditure
- Circular flow of income in two, three, and four sector models

Module 2: Keynesian Demand Side Economics

- Classical vs. Keynesian views of employment and output
- Consumption function, savings function, and marginal propensity to consume (MPC)
- Investment multiplier concept and aggregate demand determination

Module 3: Money Supply, Banking & Monetary Policy

- Functions of money and measures of money supply (M1, M2, M3, M4)
- Credit creation by commercial banks
- Central Bank functions, monetary policy instruments: CRR, SLR, Repo Rate, Open Market Operations

Module 4: Public Finance and Fiscal Policy

- Public finance scope, public expenditure principles
- Taxation types: direct vs. indirect taxes, GST framework
- Fiscal Policy objectives, government deficit types, and public debt

Module 5: Business Cycles and Economic Growth

- Phases of business cycles: expansion, peak, contraction, trough
- Causes and consequences of inflation and unemployment
- Economic growth vs. economic development, Harrod-Domar growth model

Module 6: International Trade and Balance of Payments

- Theories of international trade: Absolute and Comparative Advantage
- Balance of Payments (BOP) structure: Current Account and Capital Account
- Exchange rate determination: fixed, floating, and managed floats